



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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March 20, 2026

VIA ELECTRONIC MAIL

Karen Choate
Blue Cross of California
1121 L Street, Suite 500
Sacramento, CA 95814

Re: Proposed Contract Termination with Valley Children's Hospital
Block Transfer Filing No. 2026-HOSP-294
Filed on March 18, 2026

Dear Ms. Choate,

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Blue Cross of California** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove Valley Children's Hospital (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **July 1, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. Please submit an Enrollee Transfer Notice for the Department's review.
2. Please confirm the Plan will utilize the most recently approved eFiling Enrollee Transfer Notice Templates for this Block Transfer Filing.
3. Please confirm that the Plan is aware that it cannot transition its enrollees or send Enrollee Transfer Notices without the Department's approval.
4. Please confirm whether the hospital termination is part of a health system termination. If yes, please confirm the health system and whether the contract is a stand-alone contract.

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5. Please confirm whether the contract termination between the Plan and Valley Children's Hospital impacts Point of Service (POS) enrollees.
6. The Plan indicates via the Valley Children's _NON-ER Bed Days and Admits document there were 27 HMO bed days and 5 HMO admits; however, the Plan states there are 0 HMO enrollees impacted by the possible termination. Please clarify the discrepancy.
7. Please confirm whether the PPO providers that routinely utilize the Terminating Hospital have adequate admitting privileges for PCPs and specialists to at least one of the identified Alternate Hospitals containing all services that will be lost should the contract ultimately terminate.
8. The Plan indicates that "Tertiary Care Hospital" is available at the Terminating Hospital.
 - a. Please list out all services that fall under tertiary care
 - b. Please confirm which Alternate Hospital(s) provides each service(s).
9. The Plan indicates that the services below are available at the Terminating Hospital. As the services are available only at Alternate Hospitals that are outside of geographical access, please confirm how enrollees will maintain these services post termination.
 - a. Acute Neonatal
 - b. Acute Pediatric
 - c. "Tertiary Care Hospital" services
 - d. Trauma Center - Level II
10. The Plan indicates that Cancer services are available at the Terminating Hospital. Please specify which Cancer services are available at the Terminating Hospital and confirm which Alternate Hospital(s) provides each service(s).
11. The Plan's PPO line of business is licensed by the Department. Please confirm the following:
 - a. The Plan will send an Enrollee Transfer Notice approved by the Department to all PPO enrollees with a 15 mile radius of the Terminating Hospital.
12. The Department notes that the Plan has chosen Directly Contracted Network (DCN) as a group that admits to the Terminating Hospital, for the Enrollee Access section of the Block Transfer Filing Form. The Department also notes that the Plan has stated there are no impacted medical groups. Please state whether

DCN is impacted by the pending termination or if DCN was selected because a provider group must be chosen for Enrollee Access section of the Block Transfer Filing Form.

13. For each Alternate Hospital, please summarize or confirm the following:

- a. The Plan contacted the hospital regarding the Block Transfer,
- b. Any concerns expressed by the hospital regarding its ability to accommodate the hospital-based needs of enrollees redirected by the Block Transfer,
- c. Whether the Plan has sent or received a notice of contract termination from the Alternate Hospital, and if so, whether that contract is set to terminate within the next six months.

14. Please confirm whether the HMO providers that routinely utilize the Terminating Hospital have adequate admitting privileges for PCPs and specialists to at least one of the identified Alternate Hospitals containing all services that will be lost should the contract ultimately terminate.

If any services are not available at the Alternate Hospitals, please explain where affected enrollees will receive these services following contract termination.

15. Please confirm the medical groups that do not utilize the Terminating Hospital as a primary hospital but have admitted enrollees for the most recently completed calendar year, are able to refer their enrollees to other hospitals within the Plan's network for services comparable to those provided by the Terminating Hospital.

16. In addition to the in-patient services comparison on the Block Transfer portal, please indicate any of the following services that are available at the Terminating Hospital, but not available at the Alternate Hospitals:

- a. Any out-patient or in-patient services

17. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination.

18. Please confirm that the Plan will provide notice of the contract termination to the following:

Please submit the Plan's response by **March 27, 2026**, via the Block Transfer portal as a "Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,

Elizabeth Doyle

Elizabeth Doyle
Analyst II
Office of Plan Monitoring